

# VERITRIS ENERGY CORP.

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## MISSION

Build Veritris into a multi-utility digital platform that owns the customer relationship across connectivity, communications, cloud services, and electricity—all managed through a simple, single-pane interface for the integrated energy industry

## OVERVIEW

In Texas, the REP buys/takes title to electricity and resells it to the customer. The transmission/distribution utility still owns the poles, wires, and meters. ERCOT oversees wholesale settlement and retail switching.

About **8 million Texas premises are in competitive-choice areas**, so the addressable market is already enormous and the same could be true for Oklahoma and the Veritris Energy combined company could be modeled as:

**Fiber + 5G/FWA + enterprise networking + cloud/managed IT + government/defense + wholesale fiber + retail electricity.**

## \$10B MODEL

| Division | Year-15 Revenue | EBITDA  | Valuation Multiple | Implied EV |
|----------|-----------------|---------|--------------------|------------|
| Telecom  | ~1.9B           | ~730M   | 11x                | \$8.03b    |
| Energy   | ~\$3.28         | ~\$246M | 8x                 | \$1.97B    |
| Combined | ~\$5.18B        | ~\$976M | SOTP               | ≈\$10.0B   |

The important distinction is that the **\$3.28B electricity revenue does not require Veritris to own \$7–10B of generating assets**. Electricity becomes a high-volume, lower-margin recurring-revenue business and the digital management thereof is endless.

## CUSTOMER TARGET

| Customer class          | Accounts | Avg. annual revenue/account | Year-15 revenue |
|-------------------------|----------|-----------------------------|-----------------|
| Residential electric    | 800,000  | ~\$2,000                    | \$1.60B         |
| Small/medium commercial | 60,000   | ~\$18,000                   | \$1.08B         |
| Enterprise / industrial | 5,000    | ~\$120,000                  | \$600M          |
| Total                   | 865,000  |                             | \$3.28B         |

That represents approximately **10.8% of today's eight million competitive ERCOT premises** if all of those customers were located in Texas. That would be an aggressive market-share objective, so for a 15-year plan expect expansion into **other deregulated electricity states**, rather than assuming Texas alone supplies every customer. Just imagine the opportunity if it were in Oklahoma.

## VERITRIS ENERGY CUSTOMER MARKET

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The Year-15 electricity book around approximately **865,000 electric accounts**.

| Customer class                 | Accounts       | Avg. annual revenue/account | Year-15 revenue |
|--------------------------------|----------------|-----------------------------|-----------------|
| <b>Residential electric</b>    | <b>800,000</b> | ~\$2,000                    | <b>\$1.60B</b>  |
| <b>Small/medium commercial</b> | <b>60,000</b>  | ~\$18,000                   | <b>\$1.08B</b>  |
| <b>Enterprise / industrial</b> | <b>5,000</b>   | ~\$120,000                  | <b>\$600M</b>   |
| <b>Total</b>                   | <b>865,000</b> |                             | <b>\$3.28B</b>  |

## ELECTRICITY MARGINS

The mistake would be valuing electricity revenue like telecom revenue.

REP revenue is huge because wholesale electricity and delivery-related charges flow through the customer bill, but margins are much thinner.

For the base case, use approximately: **\$3.28B electricity revenue**.

less approximately: **\$2.85B purchased power, TDU/pass-through and related energy costs** = **~\$430M gross contribution** less:

- billing/customer service
- ERCOT/QSE costs
- sales and marketing
- bad debt
- regulatory/compliance
- commodity risk management
- IT administration

producing approximately: **\$246M EBITDA** or a: **7.5% EBITDA margin**

That is quite different from the ~35–40% mature EBITDA margin we're targeting for Veritris telecom/infrastructure operations.

As a reality check, NRG reported **\$11.139B of Texas segment revenue and \$3.872B of economic gross margin in 2025**, although NRG is much more vertically integrated than the pure REP structure, we're modeling for Veritris, so NRG's margin directly to Veritris.

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## ELECTRICITY SUBSCRIBER RAMP

I would phase the REP entry around Year 3 or 4, after Veritris has already built billing, customer-service, and telecom customer-acquisition capabilities for energy industry customers.

| Year | Residential | SMB    | Enterprise | Total Electric Accounts |
|------|-------------|--------|------------|-------------------------|
| 1    | —           | —      | —          | —                       |
| 3    | 10,000      | 500    | 25         | 10,525                  |
| 5    | 55,000      | 3,000  | 150        | 58,150                  |
| 7    | 150,000     | 9,000  | 500        | 159,500                 |
| 8    | 230,000     | 15,000 | 900        | 245,900                 |
| 10   | 400,000     | 28,000 | 1,750      | 429,750                 |
| 12   | 575,000     | 41,000 | 3,000      | 619,000                 |
| 13   | 650,000     | 47,000 | 3,600      | 700,600                 |
| 14   | 725,000     | 53,000 | 4,300      | 782,300                 |
| 15   | 800,000     | 60,000 | 5,000      | 865,000                 |

Phase the REP entry around Year 3 or 4, after Veritris has already built billing, customer-service, and telecom customer-acquisition capabilities. **That is a much more realistic electricity strategy than attempting to become another OG&E or AEP.**

## YEAR-15 COMBINED SUBSCRIBER BASE

Now combine that with Veritris telecommunications operation. The telecom targets from the original telecom-only \$10B model move slightly downward:

| BUSINESS LINE           | YEAR-15 CUSTOMERS |
|-------------------------|-------------------|
| RESIDENTIAL FIBER       | 425,000           |
| BUSINESS FIBER          | 55,000            |
| SECUREWAVE 5G/FWA       | 255,000           |
| MANAGED IT / CLOUD      | ~25,000           |
| RESIDENTIAL ELECTRICITY | 800,000           |
| SMB ELECTRICITY         | 60,000            |
| ENTERPRISE ELECTRICITY  | 5,000             |

Instead of Veritris receiving fiber: \$85/month the customer could have:

- Fiber — \$85
- Electricity — ~\$167
- SecureWave/Mobile/FWA — \$50-75
- Home security / IoT — \$30-50

That potentially creates: **\$300-\$375 monthly household billing Versus \$85** from broadband alone.

More importantly, the electric relationship creates another opportunity to retain the broadband customer. There will be substantial overlaps as either a reseller or customer. Either way, **A Veritris fiber subscriber may also be an energy subscriber which is exactly what we want.**

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**The objective is not necessarily 1.625 million unique customers but 1.625 objects managed by the platform.**

**The objective is to increase the number of products per customer and how many of those products stay managed on our energy OS digital platform.**

## THE BUNDLE BECOMES EXTREMELY POWERFUL

Imagine one residential customer.

Instead of Veritris receiving:

**Fiber: \$85/month**

the customer could have:

**Fiber — \$85**

**Electricity — ~\$167**

**SecureWave/mobile/FWA — \$50-75**

**Home security / IoT — \$30-50**

That potentially creates:

**\$300-\$375 monthly household billing**

versus \$85 from broadband alone.

More importantly, the electric relationship creates another opportunity to retain the broadband customer.

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Business customer economics are even stronger.

Consider a medium business.

It could purchase:

Fiber connectivity

- SD-WAN
- managed firewall
- cybersecurity
- cloud hosting
- voice
- wireless backup
- **electricity**

A customer producing perhaps:

**\$1,500/month telecom/IT**

could simultaneously produce: **\$1,500–\$5,000/month electricity revenue.**

So, one commercial relationship can become: **\$3,000–\$6,500+ monthly revenue.**

That changes Veritris' s lifetime customer value dramatically.

## WHY THE REP MODEL NEEDS VERY LITTLE PHYSICAL CAPEX

This is the major correction to our prior energy model.

We previously modeled approximately **\$7.4B of energy-project CAPEX.**

Under a pure REP strategy:

Most of that disappears.

Veritris is not constructing the poles.

It is not constructing distribution lines.

It is not buying every substation.

It is not necessarily to build power plants.

ERCOT describes the competitive model exactly this way: **REPs purchase electricity in the wholesale market and sell plans to customers**, while transmission/distribution providers maintain the power lines and meters.

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So instead of billions in electricity CAPEX, we need capital for **commercial infrastructure**.

## REP CAPITAL REQUIREMENTS

Initial provision estimates show:

| Requirement                          | 15-year capital / investment |
|--------------------------------------|------------------------------|
| REP billing/CIS platform             | \$40M                        |
| ERCOT/TX SET integrations            | \$20M                        |
| Digital customer acquisition systems | \$30M                        |
| Customer service infrastructure      | \$30M                        |
| Risk/hedging technology              | \$25M                        |
| Data/analytics/AI                    | \$30M                        |
| Cybersecurity/compliance             | \$25M                        |
| Offices/equipment/other              | \$25M                        |
| <b>Physical/technology CAPEX</b>     | <b>~\$205M</b>               |

But that is not the biggest financial requirement.

The real issue is: **WORKING CAPITAL AND COLLATERAL and collaboration in Oklahoma energy utilities.**

## WHOLESALE POWER COLLATERAL

Veritris could have enormous electricity purchasing obligations before collecting money from customers.

For example, at \$3.28B annual revenue: average monthly billing is approximately: **\$273M/month.**

Even relatively small timing differences between wholesale settlements and customer collections can create enormous working-capital requirements.

So, at scale would establish:

**\$350–500M revolving credit / collateral capacity**

plus, hedging facilities.

**That is more important to a REP than owning physical assets.**

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## CUSTOMER ACQUISITION BECOMES ANOTHER MAJOR INVESTMENT

Suppose blended customer acquisition eventually costs approximately:

**\$150-\$250 per residential-equivalent customer.**

Acquiring the first 865,000 active accounts could therefore require at least:

**\$130M-\$215M**

before considering replacement of customers lost through churn.

Over 15 years, with churn and reacquisition:

## \$500M-\$750M CUMULATIVE MARKETING/CUSTOMER-ACQUISITION SPENDING

would not surprise me.

Most of that is operating expense rather than accounting CAPEX.

This is another reason bundling electricity with existing Veritris fiber subscribers is strategically important.

The cheapest electric customer is the one Veritris already serves.

Our previous generation/fiber model contemplated more than \$11B of gross infrastructure investment.

| Division                       | 15-year CAPEX      |
|--------------------------------|--------------------|
| Fiber/network infrastructure   | ~\$4.5-4.8B        |
| 5G/wireless/edge/cloud         | included above     |
| REP systems/infrastructure     | ~\$205M            |
| Power generation               | \$0 assumed        |
| Electric distribution          | \$0 assumed        |
| <b>Combined physical CAPEX</b> | <b>~\$4.7-5.0B</b> |

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## OUTSIDE CAPITAL

Revise the 15-year external financing requirement to: **\$2.3B–\$2.8B**

## ELECTRICITY SUBSCRIBER RAMP

| Capital source                         | Illustrative |
|----------------------------------------|--------------|
| Corporate growth equity                | \$400–500M   |
| Fiber infrastructure debt              | \$800–1,000M |
| Revolving / working-capital facilities | \$400–500M   |
| Energy collateral / hedging facilities | \$300–400M   |
| Vendor/equipment financing             | \$150–200M   |
| Government infrastructure grants       | \$150–250M   |
| Customer-funded builds / IRUs          | \$100–200M   |

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Importantly, **\$400–500M of that may be revolving liquidity rather than permanently invested capital**. So, the true permanent equity requirement is lower.

Internet is one.  
Electricity is another.

There is one important geographic limitation: **the Texas REP model cannot simply be copied into Oklahoma residential territory today**. Oklahoma's incumbent electric system remains based heavily on regulated utilities and certified service territories, whereas Texas explicitly has retail-choice areas.

- i. **Why does the REP model need little physical CAPEX?**
- ii. This is the major correction to our prior energy model.
- iii. We previously modeled approximately **\$7.4B of energy-project CAPEX**.
- iv. Under a pure REP strategy:
  - v. **Most of that disappears.**
  - vi. Veritris is not constructing the poles.
  - vii. It is not constructing distribution lines.
  - viii. It is not buying every substation.
  - ix. It is not necessarily to build power plants.
  - x. ERCOT describes the competitive model exactly this way: REPs purchase electricity in the wholesale market and sell plans to customers, while transmission/distribution providers maintain the power lines and meters.
  - xi. So instead of billions in electricity CAPEX, we need capital for **commercial infrastructure**.

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## REGULATORY STRUCTURE

Texas requires a company that purchases, takes title to, and resells electricity to obtain REP certification from the Public Utility Commission of Texas.

For Option 1 REP, current Texas requirements also include substantial technical/managerial capabilities. Among them are experienced competitive-energy management, commodity-risk expertise, a QSE relationship for ERCOT operations, customer-service capabilities, and ERCOT requirements/testing.

ERCOT also requires new competitive retailers to complete retail-market testing.

Which will create:

### **Veritris Energy LLC**

as a separate regulated subsidiary.

Corporate structure:

### **Veritris Group / VTT**

- VTT Fiber
- VTT Wireless / SecureWave
- VTT Mobility
- StrataLink / Government & Defense
- Cloud / Managed Services
- **Veritris Energy LLC — Texas REP**

That isolates commodity and regulatory risk from the telecommunications subsidiaries.

## REVISED 15-YEAR EBITDA

The combined EBITDA trajectory could look like this:

| YEAR | TELECOM EBITDA | ENERGY REP EBITDA | COMBINED EBITDA |
|------|----------------|-------------------|-----------------|
| 1    | \$1M           | —                 | <b>\$1M</b>     |
| 3    | \$11M          | ~\$1M             | <b>\$12M</b>    |
| 5    | \$42M          | ~\$10M            | <b>\$52M</b>    |
| 7    | \$105M         | ~\$30M            | <b>\$135M</b>   |
| 8    | \$150M         | ~\$48M            | <b>\$198M</b>   |
| 10   | \$275M         | ~\$90M            | <b>\$365M</b>   |

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| YEAR | TELECOM EBITDA | ENERGY REP EBITDA | COMBINED EBITDA |
|------|----------------|-------------------|-----------------|
| 12   | ~\$430M        | ~\$145M           | <b>\$575M</b>   |
| 13   | ~\$520M        | ~\$175M           | <b>\$695M</b>   |
| 14   | ~\$620M        | ~\$210M           | <b>\$830M</b>   |
| 15   | <b>~\$730M</b> | <b>~\$246M</b>    | <b>~\$976M</b>  |

That gets us exactly where we want to be.

## \$10B VALUATION

Now value the businesses separately.

### Telecom infrastructure

**\$730M EBITDA × 11× = \$8.03B EV**

### Retail electricity

**\$246M EBITDA × 8× = \$1.97B EV**

### Combined

**\$10.0 billion enterprise value**

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## REVISED CAPEX

Our previous generation/fiber model contemplated more than \$11B of gross infrastructure investment.

Now:

| DIVISION                     | 15-YEAR CAPEX  |
|------------------------------|----------------|
| Fiber/network infrastructure | ~\$4.5–4.8B    |
| 5G/wireless/edge/cloud       | included above |
| REP systems/infrastructure   | ~\$205M        |
| Power generation             | \$0 assumed    |
| Electric distribution        | \$0 assumed    |
| Combined physical CAPEX      | ~\$4.7–5.0B    |

That is approximately: \$6B less gross capital than the generation-heavy scenario. Yet we are still targeting the same \$10B valuation.

## OUTSIDE CAPITAL

I would revise the 15-year external financing requirement to: **\$2.3B–\$2.8B with a series round A at .40% on \$25,000,000 for initial \$10M Valuation.**

| CAPITAL SOURCE                         | ILLUSTRATIVE |
|----------------------------------------|--------------|
| Corporate growth equity                | \$400–500M   |
| Fiber infrastructure debt              | \$800–1,000M |
| Revolving / working-capital facilities | \$400–500M   |
| Energy collateral / hedging facilities | \$300–400M   |
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Importantly, **\$400–500M of that may be revolving liquidity rather than permanently invested capital**. So, the true permanent equity requirement is lower.

## THE STRATEGIC ADVANTAGE

This structure gives Veritris something most telecom startups do not have:

**two enormous recurring household bills.**

Internet is one.

Electricity is another.

And ERCOT already administers switching across eight **million premises**, meaning Veritris does not need to construct an electric network to access those customers.

That allows us to change the objective from: **Build Veritris into an ISP worth \$10B.**

to:

**Build Veritris into a multi-utility digital platform controlling the customer relationship for connectivity, communications, cloud services, and electricity.**

There is one important geographic limitation: **the Texas REP model cannot simply be copied into Oklahoma residential territory today**. Oklahoma's incumbent electric system remains based heavily on regulated utilities and certified service territories, whereas Texas explicitly has retail-choice areas.

Texas is **the launch market for Veritris Energy**, using existing Veritris telecom customers as the cross-sell base where possible, and eventually entering additional retail-choice electricity states.

The next model is especially valuable: a **15-year combined subscriber/cash-flow model showing how many Veritris fiber customers also take electricity**, because a 30%, 50%, or 70% bundle penetration has a dramatic effect on customer-acquisition cost, churn, EBITDA and ultimately whether the company is worth **\$10B, \$15B or potentially more**.

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| Shares/Valuation | Operating             | Trusts                | Holdings                 | Investments     |
|------------------|-----------------------|-----------------------|--------------------------|-----------------|
| 100,000          | Veritris Energy Corp. | Veritris Energy Trust | Veritris Energy Holdings | Veritris Energy |
|                  |                       |                       |                          |                 |
|                  |                       |                       |                          |                 |
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